

FEDERAL MARITIME COMMISSION

GENESIS RESOURCE ENTERPRISE INC.,

Claimant,

v.

MAERSK LINE, LIMITED,

Respondent.

Docket No. 2014(I)

Served: December 4, 2024

BY THE COMMISSION: Daniel B. MAFFEI, *Chairman*;
Rebecca F. DYE, Louis E. SOLA, and Max M. VEKICH,
Commissioners.

Order Affirming Small Claims Officer's Order Approving Settlement, and Reversing Confidential Treatment

The Small Claims Officer's ("SCO") Order Approving Settlement and Dismissing Proceeding ("Order") was issued on September 4, 2024. The Order approved the Settlement and Release ("Settlement"), granted confidential treatment, and ordered the proceeding dismissed with prejudice. Order at 3. The Commission determined to review this decision under 46 C.F.R. § 502.304(g) and now affirms the SCO's approval of the Settlement and dismissal of the claim with prejudice but reverses the grant of confidentiality. The SCO granted confidential treatment of the Settlement because

it was “presumed” that the parties were seeking confidential treatment. The SCO presumed this because the words “Classification: Confidential” were printed on the Settlement and it included a confidentiality clause binding the parties and any related parties. Neither the Settlement nor the Motion to Dismiss requested confidential treatment from the Commission or explained why good cause existed for such a grant.

The Commission disagrees that confidential treatment is appropriate in this case. Informal claims proceedings are not bound by many of the Commission’s regulations that prescribe procedures for formal claims. *See* 46 C.F.R. § 502.305. The Commission’s rules for requesting confidential treatment of documents do not control, but the SCO’s Order looks to the Commission’s regulations for guidance and specifically looks to Commission precedent that discusses requests for confidential treatment. Order at 2-3. The SCO does not, however, look to the Commission’s current regulations governing the requests for confidential treatment, and the cases cited by the SCO predate those regulations by many years. Those cases are premised on outdated regulations. Now, the Commission requires more formality and clarity, including a motion explaining the need for confidential treatment, two copies of the confidential document, and good cause demonstrating that the information is a trade secret or other confidential research, development, or commercial information. *See* Amendments to Rules Governing Service of Private Party Complaints and Documents Containing Confidential Information, 80 Fed. Reg. 14318, 14319 (Mar. 19, 2015). Though these current rules do not control SCO proceedings, they do reflect a desire by the Commission to put the burden on parties that desire confidential treatment.

Here, neither party requested that the SCO treat the Settlement confidentially either in the Settlement or the Motion to Dismiss. Even the Settlement only purports to bind the parties and their related parties; it says nothing about the Commission, let alone requesting confidential treatment by the Commission. The parties did not provide good cause demonstrating why any of the terms of

the settlement are trade secret or other confidential research, development, or commercial information, and it is not apparent to the Commission why any of the terms would be treated as such. Based on this record, the Commission reverses the SCO's decision to presume the parties were seeking confidential treatment for the Settlement and granting that request.

The Commission hereby:

- (1) **AFFIRMS** the SCO's September 4, 2024, Order Approving Settlement and Dismissing Proceeding as to approval of the Settlement;
- (2) **REVERSES** the SCO's grant of confidential treatment; and
- (3) **ORDERS** that the proceeding be discontinued.

By the Commission.

David Eng
Secretary